

Fig 7.9B : Results Table (Table 2) of 'Nest Egg Calculator' Worksheet

If you look at Fig 7.9B, you can note the following key points:

1. The nest egg balance keeps increasing every year during the first half of your remaining life and goes from ₹3.08 Crores in 2024 to a peak of ₹6.07 Crores in 2049 (25 years). That's a good sign.
2. The nest egg balance drops drastically from 6.07 Crores in 2049 to 0.47 Crores in 2061 (12 years). This is less than what you started with. This is "inflation" at work.
3. Look at the expenses per year in 2061. It is 1.2 Crores per annum. It is 12 times the expenses you started with. That is "inflation" for you!
4. If you live for another 1 or 2 years beyond the last expected year of life (2060), you will be completely bankrupt as your expenses are far higher than your nest egg balance in 2062
5. It is therefore very important to arrive at a correct and safe nest egg balance which will last throughout your life. Remember that the earlier you retire, the longer you need to survive, and therefore, you will need a bigger nest egg balance

Congratulations!! These three data points (Start Point, End Point, Duration) are the corner stones of a financially free life. Most people don't know these 3 data points for their life, and it is almost impossible to achieve freedom unless one is clearly aware of these 3 data points.

But knowing just the corner stones is not enough to be able to have an effective and trackable plan. It is now time to move to Step 4, in which these numbers are crunched in detail on a monthly basis, so that you can track your plan more consistently.

If you have doubt regarding any of these three critical parameters i.e., starting point, end point and the duration, take time to revisit your calculations or re-adjust the numbers. These numbers are the most critical inputs to Step 4 and any error here will lead to an incorrect detailed financial freedom plan in Step 4. A strong foundation with the right numbers will help you obtain the correct results of your hard work.